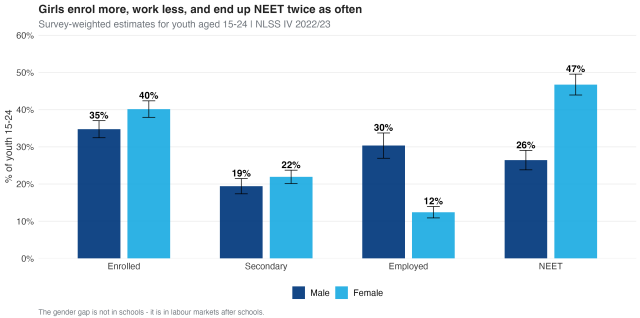
Cost of Inaction Analysis for Adolescent Girls' Education and Human Capital in Nepal

UNICEF

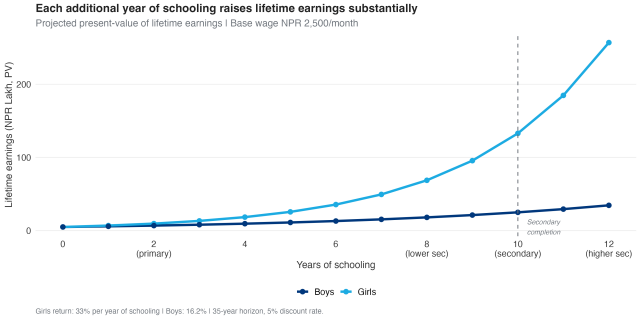
May 2026

The Problem: Girls Enrol, but Don't Find Work



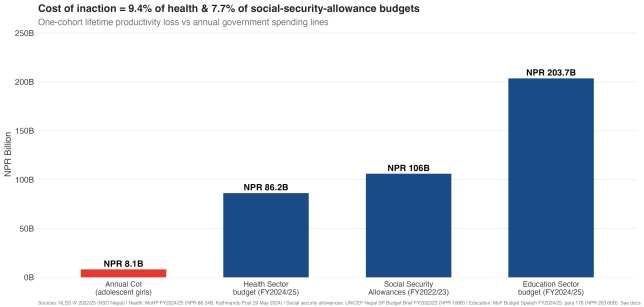
- Girls' enrolment (**40.2%**) exceeds boys' (**34.8%**).
- Yet girls' NEET (**46.8%**) is nearly **double** boys' (26.4%).
- Nepal's gender gap is not a school-access problem — it is a **labour-market** problem.
- Marriage explains more variation in girls' NEET than poverty, caste, and disability *combined* — and the share of girls married jumps from **10% at 15–18 to 56% at 19–24**.

The Evidence: Education Reduces Exclusion



- For girls and women, completing secondary school is associated with a $-$**13.2 pp** reduction in NEET probability (causal forest, $n = 13{,}586$), stable across all 7 provinces and caste groups.
- Each year of schooling: **+14.5% earnings for girls** vs $+12.0\%$ for boys.
- Returns are **convex** — rising from $\sim$8% at primary to $\sim$27% at secondary and $\sim$35% at higher secondary.
- Estimates are **robust to a Heckman selection correction** (selection significant but shifts the return $<$2 pp).

The Cost: NPR 8 Billion per Cohort



- **NPR 8.1 billion (USD 61M)** is the lifetime productivity loss from one cohort of 680,000 adolescent girls not completing secondary education.
- Equivalent to **9.4% of the health budget** (FY2024/25) and **7.6% of the social-security-allowance budget** (FY2022/23).
- A *new cohort enters every year* — this is a recurring, not one-off, loss.
- Break-even: any programme costing under **USD 90 per girl** lifetime yields positive ROI — a theoretical maximum that assumes labour-market entry.

The Recommendation: Four Priority Areas

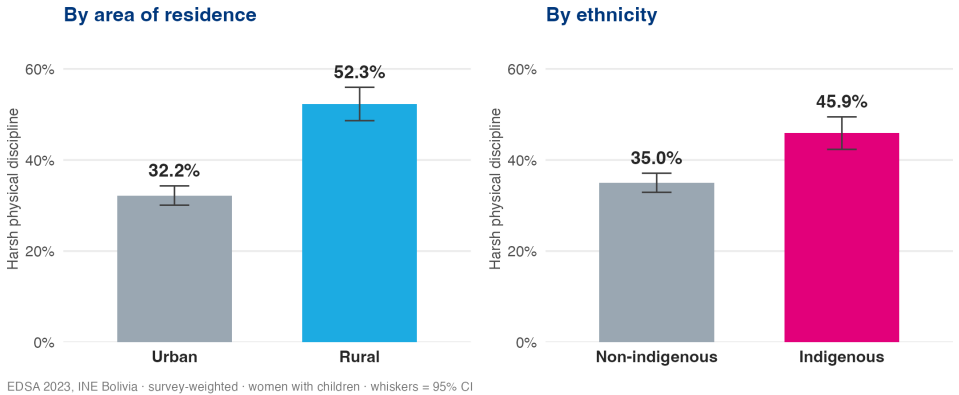
1. **Education — universal secondary completion with year-by-year retention.** 14.5% earnings premium per year of schooling, rising through lower and upper secondary. Reward *every year retained*, not only the completion milestone.

2. **Child marriage — treat prevention as an economic priority.** Marriage is associated with −61 pp enrolment and +42 pp NEET — the largest single lever. Combine enforcement of existing legislation, social-norm change at scale, and social protection, concentrated in Madhesh and Lumbini, reaching girls *before* the post-18 transition.

3. **Livelihoods — prevent the post-18 divergence by investing at ages 16–18.** The female NEET gap widens from +9 pp at 15–18 to +24.7 pp at 19–24. Pair upper-secondary retention with skills bridges to the labour market and tertiary education.

4. **Equity — close the gaps facing Dalit girls.** Even with the same education, Dalit women face a ∼2 pp residual labour-market disadvantage. Pair education with apprenticeships and anti-discrimination measures.

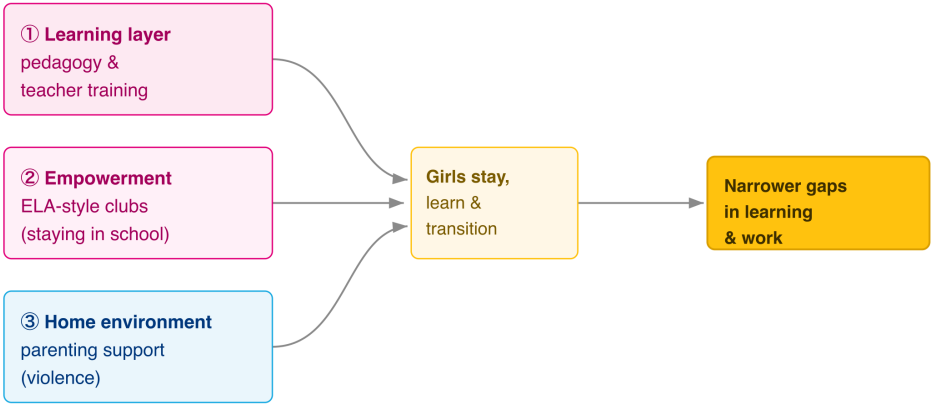
The Same Lens Elsewhere — Bolivia: a Different Diagnosis



EDSA 2023, INE Bolivia · survey-weighted · women with children · whiskers = 95% CI

In Bolivia (Aula Conectada investment case) girls are **already in school** (~92% enrolment ages 10–19, no gender gap in access); the binding constraints are **learning quality, retention past 15, and the home environment**. Violent discipline is concentrated in rural (52% vs 32% urban) and indigenous (46% vs 35%) homes and is associated with ~2 fewer years of schooling; **early pregnancy** is the strongest schooling correlate (−2.9 years). Contrast with Nepal: Nepal's gap is the school-to-work transition; Bolivia's is learning and retention — the same lens, a different policy answer. Source: EDSA 2023 (INE Bolivia), survey-weighted.

Bolivia: Evidence-Matched Theory of Change — BCR 4–6



Each layer answers a diagnosed problem: **learning** (gender-responsive pedagogy — Evans & Yuan, 73+ RCTs), **empowerment** (ELA-style clubs — the retention answer, incl. early pregnancy; Bandiera 2018, φ-adjusted), and **home environment** (parenting — Cluver 2017 effect, Janowski 2025 delivery). Combined attendance effect $\approx$ +6.6 pp $\rightarrow$ +0.28 school-years $\rightarrow$ ∼USD 970 PV per girl; **BCR** $\approx$ **4.1–6.1** (central ∼5.1), a conservative floor since learning gains (+0.06 SD) are not monetised. At full priority scale (∼568,000 girls): ∼USD 551M lifetime earnings for ∼USD 107M invested.

Thank you

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